

Mr. Market always tells you what things are worth—right now. Tomorrow, he changes his mind. Investors and business people are always guessing about which direction he will take next. And sometimes he makes major mistakes—such as the value he put on the tech stocks in January 2000 or the value he put on America’s housing stock in 2005. So you might be tempted to say that Mr. Market is no better at determining real value than you are. If that is so, your charity project might be just as valuable as anything Mr. Market favors—and government spending might be just as productive.

But Mr. Market doesn’t claim to know what things are really worth. He claims only to be discovering what they are worth—day by day, hour by hour. He is frequently wrong. But at least his mistakes are always corrected. That’s what market “corrections” are all about.

The mistakes of philanthropists and politicians are corrected, too, in the fullness of time. But not easily. And not cheaply. Never “marked to market,” they are corrected only by war, bankruptcy, poverty, hyperinflation, and/or revolution.

We believe the United States will be unable to adjust its current trajectory in a meaningful way. It is headed for one or more of these calamities. But wait, you say, the United States is a democracy. It is a capitalist system. Surely it will adapt, reform, and make the changes necessary before the big boat hits and iceberg. Right? Wrong.

In fact, democracy may, in some circumstances, be the least adaptable of all political systems. A king or a tyrant may be able to make a fundamental change in an economic system, in spite of what special interests, lobbyists, and even the people themselves want. But in a democracy, where special interests are well entrenched and well funded—and where more than half the voters receive money from the existing system and depend on it for their daily bread—a substantial change of direction may be impossible.

This is a beta issue. A big beta issue. The trends have favored America for the past 300 years. And the trends of the past 30 years have favored U.S. Treasury debts. Both trends may be coming to an end.